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GAIN Report

Global Agricultural Information Network

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Argentina

Oilseeds and Products Update

Post's Soybean Area Forecast Held at 21 Million Hectares; Peanut Area Forecast Revised Upwards Six Percent

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Report Highlights:

Favorable weather and updated planting intentions corroborate the 2014/15 forecast of area planted to soybeans at 21 million hectares. Post's soybean export forecast is held at 10 million metric tons, based on increased stocks, possible currency devaluation, and an upcoming presidential election which could have market implications. Based on the first 2014/15 formal planting intention survey given to farmers, forecast area planted to peanuts and total peanut production are raised to 365,000 hectares and 950,000 tons, respectively.

Post:
Buenos Aires

Commodities:
Oilseed, Soybean (Local)

Oilseed, Peanut

Oilseed, Sunflowerseed

Soybeans

Post holds its 2014/15 production area forecast at 21 million hectares, five percent higher than the official USDA estimate. Drier weather over the past few weeks in southern Buenos Aires Province is indicative of better planting conditions for increased second-crop soybean planting. The dryness is giving farmers time to address immediate road repair needs, caused by the intense flooding. Final planting decisions, however, for the second crop soybeans in the province will not be made until December-January after the wheat and barley harvest. In its October 2014 report, the Buenos Aires Grain Exchange (Bolsa de Cereales de Buenos Aires) forecasted 2014/15 area planted to soybeans at 20.6 million hectares. The report accurately depicts that area will increase in 2014/15 but does not fully incorporate the breadth of growth forecast on economic factors. Based on current commodity prices, industry contacts continue to confirm two prevalent production trends for 2014/15:

1. soybean production pooling—agriculture production financed by investment groups and managed by contracted agronomists—is trending downwards
2. land rent contracts with rent terms based on a percentage of production, versus on fixed monetary amounts, is trending upwards

Post holds its 2014/15 production forecast at 57 million metric tons (mmt), based on historic yields and the increase in area planted. Favorable El Niño weather may augment final yields, whereas late second crop planting, delayed by a late harvest of the first crop (wheat or barley), may diminish final yields.

Post holds its 2014/15 export forecast at 10 mmt, based on several factors:

1. *increased stocks*: industry contacts recognize that Argentine soybean stocks are high, and that 4-5 mmt have been added to stocks in the 2013/14 harvest alone.
2. *currency devaluation*: as private sources report 2014 inflation at 45 percent and given the growing disparity between the formal and informal exchange rate of the Argentine peso and the U.S. dollar, the market expects an official currency devaluation in early 2015. The rate of the devaluation and whether further devaluation rounds occur in mid-2015 will ultimately dictate soybeans sales and exports. Any devaluation movements are uncertain but are definitely key factors for both the production and trade sectors.
3. *market indications, predicated on the presidential race*: should a pro-business candidate become a clear front-runner in the 2015 presidential elections, both the export and crushing sectors anticipate a significant uptick in activity for the 2014/15 season.

2013/14 soybeans sales are estimated at 65 percent. Marginal gains in market prices have led to decent sales over the first three weeks of October. Nevertheless, soybean farmers are loathe to sell and prefer to utilize their beans as a hedge against an anticipated currency devaluation.

Oilseed, Soybean (Local) Argentina	2012/2013		2013/2014		2014/2015	
	Market Year Begin: Apr 2013		Market Year Begin: Apr 2014		Market Year Begin: Apr 2014	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	19,400	19,400	19,800	20,300	20,000	21,000
Area Harvested	19,400	19,400	19,800	20,100	20,000	21,000
Beginning Stocks	4,729	4,741	9,270	8,643	15,404	12,643
Production	49,300	49,300	54,000	55,000	55,000	57,000
MY Imports	2	2	2	0	2	0
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	54,031	54,043	63,272	63,643	70,406	69,643
MY Exports	7,817	7,900	8,500	9,000	9,000	10,000
MY Exp. to EU	50	50	50	0	50	0
Crush	35,004	35,500	37,280	40,000	39,850	42,000
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1,940	2,000	2,088	2,000	2,152	2,000
Total Dom. Cons.	36,944	37,500	39,368	42,000	42,002	44,000
Ending Stocks	9,270	8,643	15,404	12,643	19,404	15,643
Total Distribution	54,031	54,043	63,272	63,643	70,406	69,643
1000 HA, 1000 MT						

Peanuts

In October, the Grain Exchange of Cordoba (Bolsa de Cereales de Cordoba) released its first 2014/15 forecast for peanut production. The forecast is based on planting intention surveys distributed in September to farmers in the peanut-producing provinces of Cordoba, San Luis, and La Pampa. Based on these survey results, Post is raising its forecast area planted to peanuts and total peanut production to 365,000 hectares and 950,000 tons, respectively. Prior to the survey results, industry contacts foresaw a reduction for 2014/15 peanut production, but it appears farmers are not quite as pessimistic in their planting intentions as initially believed. Peanut planting commenced in October, on the heels of beneficial rains in the second half of September and early October.

Oilseed, Peanut Argentina	2012/2013		2013/2014		2014/2015	
	Market Year Begin: Mar 2013		Market Year Begin: Mar 2014		Market Year Begin: May 2014	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	380	388	334	383	340	365
Area Harvested	380	380	334	378	340	360
Beginning Stocks	523	523	713	713	860	730
Production	1,016	1,016	982	997	1,200	950
MY Imports	0	0	0	0	0	0
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	1,539	1,539	1,695	1,710	2,060	1,680
MY Exports	585	585	585	700	700	700
MY Exp. to EU	450	450	420	450	465	450
Crush	211	211	220	250	250	220
Food Use Dom. Cons.	20	20	20	20	22	20
Feed Waste Dom. Cons.	10	10	10	10	15	10
Total Dom. Cons.	241	241	250	280	287	250
Ending Stocks	713	713	860	730	1,073	730
Total Distribution	1,539	1,539	1,695	1,710	2,060	1,680
1000 HA, 1000 MT						

Sunflowers

Post forecasts the 2014/15 area planted to sunflowers at 1.4 million hectares, in line with the official USDA forecast. Industry contacts continue to corroborate a gain in area planted to sunflower, based on better economic returns and reduced economic volatility. Sunflower economic returns have proven themselves less volatile than other sectors due to the largely internal nature of the sector. Thanks to government subsidies that keep consumer prices low, domestic consumption for sunflower oil is stable, leading to stability in the crushing sector. For this reason, crush is forecast at 2.3 mmt, stable in line with trends, albeit eight percent lower than the official USDA forecast.

Contacts confirm the trend of increased planting to high oleic sunflower varieties, as the yields become only marginally different from conventional varieties. The European market is reported to pay a \$40-50/ton premium for high oleic sunflower oil, and in cases of high demand has paid a premium of \$80-90/ton. In the case of exports, most traders have adopted the practice of supplementing large soybean oil shipments with dedicated containers for sunflower oil exports.

Oilseed, Sunflowerseed Argentina	2012/2013		2013/2014		2014/2015	
	Market Year Begin: Mar 2013		Market Year Begin: Mar 2014		Market Year Begin: Mar 2014	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	1,623	1,623	1,300	1,315	1,400	1,400
Area Harvested	1,623	1,623	1,300	1,315	1,400	1,400
Beginning Stocks	369	369	1,018	1,020	760	723
Production	3,100	3,100	2,100	2,100	2,500	2,500
MY Imports	7	9	2	8	2	8
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	3,476	3,478	3,120	3,128	3,262	3,231
MY Exports	84	84	80	75	80	80
MY Exp. to EU	20	20	20	20	20	20
Crush	2,344	2,344	2,250	2,300	2,500	2,300
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	30	30	30	30	30	30
Total Dom. Cons.	2,374	2,374	2,280	2,330	2,530	2,330
Ending Stocks	1,018	1,020	760	723	652	821
Total Distribution	3,476	3,478	3,120	3,128	3,262	3,231
1000 HA, 1000 MT						

Related Reports:

- [Argentina September 2014 Oilseeds Update Report](#)
- [Argentina 2014 Oilseeds Annual Report](#)